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BUSINESS • EARNINGS

Marriott Revenue Rises on Starwood Acquisition

Profit, adjusted per-share earnings also increase

By Anne Steele

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Marriott International's revenue surged in its latest quarter. [BLOOMBERG NEWS](#)

Marriott International Inc. reported Wednesday that revenue surged in its latest quarter, helped by the recent acquisition of Starwood Hotels & Resorts Worldwide Inc.

Shares rose 0.8% after hours to \$90.15.

Overall hotel revenue per available room, or RevPAR, an important metric in the hotel industry, inched up 0.8% for both the combined legacy business and Starwood. The company had expected RevPAR to land between flat and up 1%.

For the current quarter, Marriott expects comparable systemwide RevPAR on a constant-dollar basis for the combined company will increase 1% to 3% in North America and world-wide, reflecting the benefit of the U.S. Presidential inauguration

and related events at Washington, D.C. hotels and the favorable shift of Easter into the second quarter.

Marriott also expects earnings per share between 87 cents and 91 cents, bracketing the 90 cents projected by analysts surveyed by Thomson Reuters.

In all for the fourth quarter, Marriott reported profit rose to \$244 million from \$202 million a year earlier. Per-share earnings fell to 62 cents from 77 cents. Results were dragged by \$136 million in merger-related costs and charges.

Excluding merger-related costs, adjusted per-share earnings rose to 85 cents, at the top end of the company's forecast for 80 cents to 85 cents.

Revenue rose 47% to \$5.46 billion. Analysts polled by Thomson Reuters were expecting \$4.96 billion.

The \$13 billion merger created the world's largest hotel company with more than 1.1 million rooms and about 5,700 hotels in more than 110 countries. The merger combines Marriott brands, including Ritz Carlton, Courtyard and Residence Inn, with W Hotels, Westin, Sheraton and other Starwood brands.

Marriott estimates the combination will yield annual cost savings of \$250 million. The Bethesda, Md., lodging company is betting that its large size will allow it to negotiate better terms with online travel agents like Expedia Inc. and to convince more travelers to book directly on its website.

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Anne Steele covers the music industry for The Wall Street Journal's entertainment bureau in Los Angeles. She was previously a breaking corporate news reporter in New York, and got her start at the Journal as an intern in the Detroit bureau covering the auto industry. Anne writes about the people and the companies that release, distribute...



